

Answer to quick questions - Revision

A1. Explain why a subsidiary's identifiable net assets are measured at fair value at the acquisition date?

The subsidiary's assets and liabilities are included in the consolidated financial statements at fair values at the date of acquisition because:

- accounting standards require that the consideration given by the parent must be measured and recognized in the parent's financial statements at fair value, to reflect the true cost of buying the subsidiary
- the fair value of the subsidiary's identifiable assets and liabilities at the date of acquisition represent their cost to the group
- goodwill is the difference between the fair value of the net identifiable assets of the subsidiary and the fair value of the consideration given. Therefore, if fair values were not used for the subsidiary's identifiable net assets acquired, the figure calculated for goodwill would be meaningless

A2. Which of the following will be recognized as part of the cost of an investment in a subsidiary, in the parent company's books at acquisition:

- i) A cash payment of £100,000 to be paid the former shareholders of the subsidiary in six months' time
- ii) An agreement to pay £30,000 to the subsidiary's shareholders if the subsidiary achieves a certain profit target next year. At the acquisition date, the directors think it is unlikely that the subsidiary will meet the target
- iii) Professional fees of £5,000 paid to advisors
- iv) Shares issued in the parent company to the shareholders of the subsidiary to buy their shares in the subsidiary

c) i), ii) and iv)

*Tutorial note: Fees to buy a subsidiary are **expensed** to profit and loss as it is not part of the consideration given to the former shareholders of the subsidiary. Even if it is unlikely that contingent consideration (ii) will be paid it will still have a fair value at acquisition, therefore it is included in the cost of the investment.*

A3 Tom**d) £900,000**

	£'000
Shares in Tom	300
(200k shares acquired in Will = 200k shares in Tom given in exchange)	
200k shares in Tom x £1.50 each	
Deferred consideration (£660k / 1.1)	600
	<u>900</u>

The fair value of the shares given in Tom is used in the calculation, not the market value of the shares in Will. Professional fees to buy the shares are expensed in profit and loss. Deferred consideration is discounted.

A4 Propeller – part i)**b) £6,000**

Total profit on sale = £24,000 (£120k x 20%)

Unrealised profit remaining in inventory at the year-end = £6,000 (£24,000 x 25%)

A4 Propeller – part ii)

Dr Retained earnings of seller at reporting date - subsidiary Boat (W2)	£6,000
Cr Inventory (reduce) (CSoFP)	£6,000

As the subsidiary sold the goods (and made the unrealised profit) – the adjustment is in W2 'Net assets of subsidiary at the reporting date'.

A5 What is the total finance cost in P Ltd's consolidated income statement for the year to 31 December 20X4**C) £57,000**

(£50,000 P + £10,000 S – £3,000 intra-group interest (£100,000 x 6% x 6/12))